

## HOW TO SELL YOUR OWN NFTs

1

### SET UP ONLINE WALLET

Platforms such as NFTically allow MetaMask or any Ethereum-based wallet using WalletConnect

2

### CREATE STORE

Navigate to 'create store' toggle on the website to be redirected to your dashboard and set up your own store

3

### LIST ON THE MARKETPLACE

Customise the store according to your preference, give it a name and list it on the marketplace

4

### MAKE YOUR OWN COLLECTION

Choose any digital token to upload and mint. Provide name and description. Then set price and post your listing

5

### SELL YOUR NFT

As you hit the create button, the token gets its own smart contract and is sent to the blockchain free of charge. Pay the transactional fee, called gas fee, for minting your digital token. Your collection now becomes available on the marketplace for anyone to purchase

Source: NFTically

## WHAT'S IN IT FOR BUYERS?

According to a Cointelegraph Research report, \$1,000 invested in Bitcoin in 2017 would have given returns of more than 16x now. Compare that to the 125,000x return on \$1,000 invested in an imaginary portfolio of NFTs comprising a small fraction of all NFTs ever sold on the Ethereum blockchain. However, the report adds that it isn't possible to create this portfolio as the calculation assumes that the \$1,000 was distributed evenly among the NFTs available at the start of each project.

The growing popularity of NFTs is reflected in its numbers. "Earlier, a very small fraction of investors saw potential in NFTs but 2021 led to a complete U-turn as the market opened up to massive NFT pitches with a record \$2.5 billion in sales globally. As per Google Trends

data, in August 2021, global interest for NFTs rose by 426 per cent with people showing a lot of interest in buying NFTs," says Tarusha Mittal, COO and Co-Founder, Oropocket, a digital assets investment platform. Experts say this trend will continue.

NFTs have also emerged as a powerful branding and marketing tool as it helps expand the fan base of a brand by allowing consumers to own a piece of it. For example, MG Motor India announced 1,111 tokens as part of its digital marketing initiative in December. Mahindra & Mahindra has also recently announced its entry into the NFT space. "When an NFT from a big automaker is released, it is looked at as an authentic digital art piece from the maker. So, the value increases because of the demand from users," says Ketan Surana, Co-founder and CFO, Coinsbit India, a cryptocurrency exchange.

## WHAT CAN GO WRONG?

The NFT space is not devoid of challenges. Sometimes, prices are driven by speculation than by value. Moreover, price manipulation from insider trading, influencers and other deceptive practices are common. "Beeple's \$69-million NFT, for example, is arguably over-valued due to price manipulation from the purchaser MetaKovan, who purchased a large number of Beeple's works prior to this record-breaking auction. Shortly thereafter, MetaKovan launched the B.20 fund, which included fraction-alised Beeple NFTs," says Cointelegraph Research.

Another challenge is the uncertainty in determining an NFT's price. Value is mostly governed by the 'hard-to-get' factor. Also, there's no legal definition of NFTs globally, with countries such as the UK, Japan, and the EU moving ahead with different approaches to classify them. "The popularity of NFTs has also increased the chances of cyber threats. [There are] plenty of cases where replicas of the original NFT stores are put up on the internet," says NFTically's Sharma.

Another risk is when someone impersonates a famous artist and sells fake NFTs. Shill bidding is another risk, where prices are artificially inflated by bidders who do not intend to win the auction. This could be in collusion with the marketplace or with the NFT vendor. Add to that the recently levied flat 30 per cent tax on gains made from NFTs, and the 1 per cent TDS to be paid on the transaction value by the buyer which make many in India jittery about investing in NFTs.

While the NFT market has been growing at a rapid pace, many are still wary of entering it because of the speculative mania around its value. One needs to be extra careful when diving into this unregulated space. **BT**

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